

MobiKwik wallet users can also scan any QR code, regardless of the organisation it is associated with and make payments seamlessly. “This innovation underscores our dependence on product development, instead of substantial marketing expenditures,” she adds.

All these have helped MobiKwik emerge as the Best Fintech in Payments in this year’s BT-KPMG study.

Recently, MobiKwik’s IPO, valued at ₹572 crore, garnered an overwhelming response from investors. On December 18, 2024, the stock was listed on the National

tates transactions across physical stores, e-commerce platforms, and utility bill payments. Merchants pay MobiKwik a nominal fee (Merchant Discount Rate or MDR) for facilitating these transactions.

“We’ve partnered with 100,000 e-commerce merchants and 3.7 million physical stores, which makes us a leader in wallet usage,” says Taku. “We hope that the introduction of MDR on UPI transactions gets industry acceptance soon, which will further expand our revenue stream,” she adds.

Leveraging customer insights, MobiKwik provides investment op-

loans for merchants.

MobiKwik has expanded its merchant ecosystem by introducing a soundbox device for small businesses. The soundbox provides audio confirmation of payments and generates a monthly rental income for MobiKwik. The company intends to expand this offering further, targeting *kirana* stores and other micro-enterprises.

MobiKwik is also planning to diversify its lending portfolio by expanding into secured products. To reduce reliance on personal loans, it is introducing a secured credit card for individuals who lack access to traditional credit cards; customers can earn interest income on FDs while enjoying the convenience of a credit card through this. For instance, users can invest an amount as low as ₹5,000 in an FD through the MobiKwik app. This card, which works on UPI and offers rewards, is particularly beneficial for those with limited or no credit history. It enables them to build a credit score without the usual barriers of prior credit history or complicated documentation.

In terms of financials, the company’s payments services are profitable, with a 20% contribution margin in payments and 40% in the financial services business. The payments business serves as a low-cost acquisition channel for attracting high-quality users to whom the company can cross-sell. With its payments business growing rapidly, MobiKwik aims to strengthen its leadership position further. “We are at the cusp of transforming how India manages payments, savings, and credit. Our goal is to make every financial journey seamless and secure for users,” concludes Taku. **BT**

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FOSTERING INNOVATIONS

- **MobiKwik’s Pocket UPI simplifies transactions, addressing clutter and fraud concerns effectively**
- **Users can scan any QR code and pay seamlessly via its wallet**
- **The fintech reported ₹890 crore in revenue in FY24, its first profitable year**
- **It also offers savings options like FDs, digital gold, and MFs**
- **It has launched soundbox devices to expand its merchant ecosystem further**
- **Introducing secured credit cards to empower users with no credit history**
- **Achieved growth with frugality, focussing on innovation over marketing**

Stock Exchange at ₹440 over its issue price of ₹279.

MobiKwik has accomplished what many fintech start-ups strive for but seldom achieve: profitability. The company reported revenue of ₹890 crore for FY24, a 59% increase compared to the previous year, alongside ₹37 crore in Ebitda and ₹15 crore in net profit. “This is our first full profitable financial year,” says a proud Taku.

The company operates across three key segments: payments, savings, and credit. The company’s foundation, however, lies in its payments business, which facili-

tions such as fixed deposits (FDs), digital gold, and direct MF plans. The platform aggregates FD rates from banks and NBFCs, allowing users to invest directly through its app. “Our app simplifies the process. Users don’t need to open a separate bank account. They can view interest rates, invest, and manage their savings—all in one place,” says the 45-year-old Taku.

For the third segment, the fintech has partnered with banks and NBFCs to offer credit products tailored to user spending patterns. This includes personal loans for individuals and working capital